

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

W.P No.70730 of 2025

Muhammad Shahid Sharif & another

Versus

Addl. Chief Secretary, Govt. of the Punjab & others

J U D G M E N T

Date of Hearing.	15-01-2026
PETITIONERS BY:	Malik Saleem Iqbal Awan, Advocate.
RESPONDENTS BY:	Mr. Hassan Ijaz Cheema, A.A.G with Malik Naveed Tariq, Asst. Director (Legal).

Shahid Karim, J:-. The petitioners through the instant constitutional petition seek setting aside of the order dated 04.11.2025 passed on a direction issued by this Court to consider the case of the petitioners for regularization under the Punjab Regularization of Services Act, 2018 (The Act) (since repealed through the Punjab Regularization of Services (Repeal) Act, 2025 published in the Punjab Gazette on December 18, 2025). The following reasons weighed with the Addl. Chief Secretary Punjab, Govt. of the Punjab in passing the impugned order while considering the case for regularization of the petitioners:

“The Petitioners were appointed on contract basis for a period of five years through the PPSC. Their contract expired on 05.03.2022. No valid extension or renewal was approved prior to the expiry of the contract. Consequently, they remained no more in service after the expiry of the contract.

In accordance with Para 3(xiv) (viii-ix) of the Contract Appointment Policy, 2004, retrospective or ex post facto extensions are strictly impermissible.

The Punjab Regularization of Service Act, 2018 was applicable only to employees who remained in continuous service at the time of consideration. Since the Petitioners' contractual tenure had expired prior to such consideration, they did not qualify for regularization under the said Act.

Furthermore, it is pertinent to note that the said Act has since been repealed, thereby extinguishing any residual statutory foundation for regularization under its provisions.

Although the Petitioners had initiated requests for regularization before the expiry of their contracts, their case remained under internal scrutiny at the level of the ACE, Punjab. Such administrative delay, being procedural in nature, does not revive any right once the contractual term has lapsed.”

2. There is no contention that the petitioners were appointed on a contract for a period of five years which expired on 05.03.2022. There was no extension in the contract period yet the petitioners continued to render services and this is evident from the documents attached with the petition and to which there is no rebuttal. More particularly this was pointed out in response to a letter dated 20.12.2022 written by the Services & General Administration Department, Govt. of the Punjab (S&GAD) to the Director General, Anti-Corruption Establishment Punjab (ACE) in which certain queries were raised regarding status of the petitioners' contract. In response to that letter it was pointed out on behalf of the competent authority that the petitioners were still serving in ACE even though their contracts had expired on 05.03.2022 and were posted at various places at the time of that reply which is dated 10.01.2023. Thus, for all intents, the petitioners continued to perform functions and render services with the concurrence of respondent No.2 even after expiry of their contractual period. At first blush, it would be deemed that the contracts of the petitioners will have been extended by implication.

3. S&GAD vide letter dated 17.02.2023 reiterated the grounds for refusal to refer the case of the petitioners for regularization while stating in paragraph 3 that only those contract employees could be considered for regularization whose contracts are valid so that they are in the service of Govt. of the Punjab at the precise time of their regularization. This basis put forth by respondents No.1 and

3 is erroneous and is a misconstruction of various provisions of the Act.

4. To reiterate, the only basis on which regularization has been refused is that the Act was applicable only to employees who were in the continuous service at the time of their consideration for regularization and since the petitioners' contractual period had expired prior to such consideration they did not qualify for regularization under the Act. This observation is merely subjective and as stated above runs counter to the provisions of the Act which do not constrain the Competent Authority from considering an employee for regularization who is not in service at the relevant time of his consideration. Moreover, it is a fallacy to hold that regularization of an employee would be dependent upon the consideration of his regularization by the competent authority and not otherwise. It may be that an employee who is otherwise entitled to regularization will not be considered at all by the department during the period of his contract although the provisions of the Act entitle him to be so considered for regularization. Therefore, the consideration of an employee cannot be at the whims of the relevant office or the competent authority and must be subject to the dictates of law.

5. We will now allude to the facts which when juxtaposed against the law lend credence to the case of petitioners for regular appointment. There is no doubt that the petitioners' case for regularization was firstly considered on 07.12.2020 in the meeting of the scrutiny committee constituted to scrutinize the case of contract employees for regularization of their services. The following recommendation was made by the scrutiny committee in that meeting:

“After thorough examination of relevant record the scrutiny committee recommended that Mr. Muhammad Shahid Sharif ACE Inspector (contract employee) may be directed through concerned RD to submit his PERs completed till 31.12.2021 to proceed further in the matter. The concerned Director may also be requested to forward his clear-cut

recommendations regarding regularization of services of said officer keeping in view his performance.”

6. Thus, the consideration for regularization of the petitioners was initiated on 07.12.2020 and ought to have been completed timeously and in any case prior to the expiry of their contracts. This had to be done as per mandate of law which required consideration of contract employees for regularization who had served for a period not less than three years. Those employees would be eligible for consideration. Thus, the impugned order is deficient and flawed on this account and there is no basis for holding that the petitioners were not in continuous service of three years at the time of their consideration. In the meeting of scrutiny committee held on 01.04.2022, it was recommended that the petitioners' case for regularization of service may be placed before the D.G ACE for signatures and for being forwarded to S&GAD for processing of the case for regularization. The cases of the petitioners remained under process at DACE HQ till 23.11.2022 and finally they were sent by the D.G ACE Punjab to S&GAD for extension in the contract period and regularization of their services. This was turned down by S&GAD vide letter dated 17.02.2023. The same reasons weighed with S&GAD as reflected in the impugned order.

7. Sub-section (3) of section 1 of the Act provides that:

*“1(3) It shall apply to all persons employed on contract in a department, who have completed **three years continuous service** before or after the commencement of the Act.”*

8. The above provision clearly states that all persons employed on contract in a department who have completed three years continuous service shall be regularized by the mandate of the Act. Therefore, the crucial words are “completed three years continuous service”. It does not matter whether the person is still employed on contract basis or that his contract is valid or not, his case will necessarily be referred for regularization in accordance with the

provisions of the Act. The word ‘completed’ connotes the expiry of a period of contract. Suppose that the contract was for three years and at the end of three years, was not extended. Does that person fall afoul of the law and will not be considered for regular appointment? The answer is a resounding no. The law merely requires three years continuous service and does not stipulate an extension of contract to be considered on that basis. The department concerned may not extend the contract and myriad of reasons may inform that decision. One of which may be some animus of higher officer towards that person. Also, the law may not permit an extension at all. Thus, it cannot be argued that a person must have a valid subsisting contract in order to be considered at all under the Act. Doubtless, a person, by mandate of law, cannot be considered for regular appointment before the end of three years and if the construction put on the Act in the impugned orders were to be accepted, will not be considered in any case at the end of three years if the contract does not survive. This is an unpalatable result and cannot be accepted. Thus, the law itself does not make it a condition precedent that the person employed on contract should have a subsisting and valid contract at the time of his consideration for regularization. This view further finds support from a reading of sub-section (2) of section 3 of the Act, which provides that:

“(2) Notwithstanding anything contained in the Act, the contract employees who have continuously been serving as such for a period not less than three years shall be eligible to be considered for appointment on regular basis if:

- (a) a regular vacancy allocated for initial recruitment is available for regularization;*
- (b) he is qualified for the post;*
- (c) he has not been appointed on a special pay package;*
- (d) his performance during the period of contract has remained satisfactory; and*
- (e) he does not opt to continue as contract employee.*

9. A combined reading of the two provisions would ineluctably show that a person becomes eligible to be considered for appointment on regular basis if he has

completed three years continuous service which is also the case with the petitioners. There is no doubt that the petitioners were considered for appointment on regular basis soon after they completed three years of service but the department kept their cases under consideration for a considerable period of time on account of bearucratic *inertia* by which time their contracts had come to expire. The parent department of the petitioners entirely supported the case of the petitioners for being regularized but S&GAD had different views and did not agree with regularization of the petitioners. It goes without saying that the parent department of the petitioners, that is, respondent No.2 ought to have forwarded their cases for regularization on time and within currency of their contractual employment. The petitioners cannot be held responsible for acts of the department and made to suffer on that account.

10. Sub-section (1) of section 4 of the Act provides that:

“4. Procedure for regularization.— (1) The case of a contract employee appointed on the recommendations of the Commission shall be submitted to the appointing authority for regularization without reference to the Commission or the Scrutiny Committee.”

11. It is the mandate of sub-section (1) of section 4 of the Act, set out above, that cases of contract employee appointed on the recommendations of PPSC (which is the case for the petitioners as well) shall be submitted to the appointing authority for regularization “without reference to the Commission or the Scrutiny Committee”. Thus, there was no requirement in law to refer the cases of the petitioners to the scrutiny committee set up by respondent No.2 and it should have been sent to the appointing authority for regularization as soon as the period of three years came to an end. The parent department of the petitioners went wrong in law in retaining discretion over the petitioners by referring their cases to the scrutiny committee and thus wasted valuable time in the process of their appointment on regular basis. Be that as it may, the construction of various provisions of the Act clearly brings

forth the inevitable conclusion that the impugned order suffers from an illegality and is based on erroneous construction of law.

12. In view of the above, this petition is allowed. The impugned order is set aside. The respondents are directed to appoint the petitioners on regular basis as per the working paper submitted to the appointing authority on 21.11.2022, It is made clear that there is no need for extension in the contract appointment and as held above this would not be an impediment in the consideration of cases of the petitioners for regularization.

(SHAHID KARIM)
JUDGE

Approved for reporting

JUDGE

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Rafaqat Ali